

Market Week in Review and Outlook (Oct 6–17, 2025)

U.S. Stock Market Performance (Oct 6–10, 2025)

Major Indexes: All three **U.S. stock indexes** slid over the week, with a sharp sell-off on Friday erasing earlier gains[1]. The **S&P 500 index (S&P 500 지수)** fell ~2.7% Friday and ~3% for the week – its worst weekly drop since May[1]. The **Nasdaq Composite (나스닥 종합지수)** plunged ~3.6% Friday (its steepest one-day fall since April) and ended the week down the most since April[1]. The **Dow Jones Industrial Average (다우 지수)** sank ~1.9% Friday, capping a weekly decline. Investors fled risk assets late in the week amid surging U.S.–China trade tensions (see below), piling into safe havens like **gold** and **Treasuries (국채)**[2]. This risk-off shift drove **bond yields (국채 수익률)** lower and weakened the **U.S. dollar (미국 달러)**[2].

Early-Week Trade: Prior to Friday’s plunge, equities had been edging higher on optimism about **Federal Reserve** policy. The **S&P 500** and **Nasdaq** even notched fresh intraday highs on Thursday[3], buoyed by hopes that the Fed’s rate hikes are over. However, those gains were abruptly reversed when **President Trump’s tariff threats** rattled markets to end the week[4]. By Friday’s close, the **S&P 500** was at **6,552.51 points**, the **Nasdaq** at **22,204.43**, and the **Dow** at **45,479.60**[5] – all indexes logging sizeable weekly losses.

Fed Signals: FOMC Minutes & Powell’s Policy Stance

FOMC Minutes (연준 회의록): On Wednesday, **FOMC meeting minutes** from the Fed’s late-September policy meeting were released. The minutes revealed a **divided committee**, but importantly a majority of Fed officials saw rising downside risks to employment and favored further rate cuts[6][7]. “A few” policymakers argued against cutting rates, yet **11 of 12 voters** supported last month’s 0.25% rate cut, and most projected **at least two more quarter-point cuts by year-end**[8][7]. This dovish tilt – driven by concern over a cooling labor market – reinforced market expectations that **monetary easing (통화 완화)** will continue. Equity markets reacted positively to the prospect of lower rates, and Treasury yields eased mid-week in anticipation of Fed support.

Powell & Fed Officials on Tariffs and Jobs: In a speech Thursday, **Fed Chair Jerome Powell** and regional Fed presidents emphasized a shift in the Fed’s focus toward economic **employment weakness (고용 시장 약세)** rather than inflation. Powell recently noted that **President Trump’s tariffs** have not fueled as much inflation as expected, calling it a “**one-time**” **price-level increase** rather than an ongoing inflationary force[9][10]. In other words, the Fed now views tariff-driven price spikes as **temporary (일시적 인플레이션)**. New York Fed President John Williams echoed that sentiment, saying Trump’s tariffs are “**not putting as much upward pressure on inflation**” as feared[9]. With tariff impacts seen as transitory, Fed officials are “**very focused**” on **labor market risks**[11][12]. Williams warned of “**downside risks to the labor market**”, and San

Francisco Fed's Mary Daly agreed that **softening employment** has become "worrisome," requiring policy to "**risk-manage**" the dual mandate[13]. In Powell's view, because job growth has cooled significantly, the balance of risks has shifted – **weaker labor markets reduce upside inflation risk**, giving the Fed cover to ease policy[12].

Market Impact: These Fed communications were largely **market-supportive**, as investors interpreted them to mean the Fed will prioritize supporting employment and likely **cut rates again** at the October 28–29 meeting[14]. Indeed, futures are pricing a **95% chance of another 0.25% cut** this month[15]. Stocks were steady-to-up through Thursday on this dovish outlook, and **growth sectors** (e.g. tech) rallied on hopes lower rates would sustain the economic expansion. However, by late week the Fed's influence was overtaken by trade war fears, which drove a volatility spike and sell-off on Friday.

Trade War Escalation: Trump's Tariff Shock

Trade Conflict Intensifies: The U.S.–China trade war burst back to the forefront on Friday (Oct 10) after **President Donald Trump** abruptly announced aggressive new measures against China. In response to Beijing tightening exports of **rare earth minerals** (희토류 수출 통제 강화), Trump declared the U.S. would impose an **additional 100% tariff** on all Chinese imports and enact "**large-scale**" **export controls** on critical U.S. technologies[16][17]. These steps – slated to take effect Nov 1 – would **double the tariffs** American importers pay on Chinese goods and ban exports of "*any and all critical software*" to China[17]. Trump's posts on Truth Social also threatened further actions, saying there was "**no reason**" to meet China's President Xi at the upcoming summit and hinting at "many other countermeasures"[18]. Effectively, Washington is re-opening the trade war and moving toward **economic decoupling** with China. The scale of the mooted 100% tariffs and broad tech export bans suggests a potential **trade isolation of China**, as Chinese products could become prohibitively expensive in the U.S. and Chinese firms cut off from U.S. tech inputs.

Global Market Impact: Trump's "**shocking**" **broadside** against the world's second-largest economy sent shockwaves through global markets[19][20]. Investors reacted with a classic "**sell first, ask questions later**" mentality[21]. On Wall Street, all major indices **plunged** Friday: the **S&P 500** and **Nasdaq** saw their biggest one-day drops since April[1], and **semiconductor stocks** (반도체주) nosedived (the Philly **SOX index** sank 6.3%[22]) on fears of supply disruptions. High-profile tech names like **Nvidia, Tesla, Amazon, and AMD** all fell over 2% in after-hours trading on Trump's announcement[23]. Globally, the news fueled a rush to safety – **gold prices rose**, and **Treasury yields** fell as investors sought shelter[2]. The U.S. dollar actually **softened** against other currencies amid speculation the trade escalation could slow U.S. growth and lead the Fed to cut rates more aggressively[2].

Trade Isolation of China: Analysts noted this marked a dramatic breakdown in the tenuous truce reached over the summer[24]. If implemented, a 100% tariff on Chinese goods would be akin to a near-total **import ban**, given such duties would roughly double the cost of Chinese products. Trump's move suggests the U.S. is willing to **sever supply**

chains: for instance, **rare earth elements** (희토류) – over 90% of which are processed in China – are critical for EVs, aircraft, and defense systems[25]. Restricting China’s access to U.S. software and possibly aviation technology (Trump also floated controls on aircraft and parts[26]) raises the specter of a deeply fragmented global tech sector. **Trade experts** warned this “*beginning of the end of the tariff truce*” could inflict lasting damage on both economies[27]. By potentially isolating China’s economy, the U.S. risks **major supply chain disruptions** and higher costs for multinational firms. The immediate market reaction – a slide in equities and surge in volatility – reflected fears that an **escalating trade war** will undercut corporate profits and world economic growth.

Major Company News: Tech & Inflation Spotlights

AI/Tech Stocks and Earnings: Several technology and AI-focused companies saw notable developments:

- **Nvidia (NVDA)** – The semiconductor giant’s stock rallied mid-week on the AI euphoria but then **tumbled over 2%** Friday as Trump’s export curbs threatened its China sales[23]. Nvidia relies heavily on China’s demand for its AI chips, and new **U.S. export restrictions** (수출 규제) on advanced chips or software could **dent future revenues**. Moreover, **ASML** – a key chip equipment supplier – cautioned that **U.S.–China tariffs add uncertainty** to the 2025–26 outlook, even though AI demand remains robust[28][29]. Nvidia itself recently took a **\$5.5B charge** after the U.S. tightened chip export rules to China[30], illustrating how geopolitics is clouding the AI boom.
- **Palantir (PLTR)** – The data analytics firm (an AI and defense play) had a volatile week. Its stock initially **slid ~7.5%** after reports of **security flaws** in a Pentagon battlefield AI system it co-developed[31][32]. An internal Army memo called the system “*very high risk*” from a cybersecurity standpoint[31]. Palantir rebutted that no vulnerabilities were in its platform[33], and by Oct 6 the stock rebounded ~3% after management clarified the issue[34]. Despite these hiccups, Palantir continues to win big contracts – it recently secured a **\$480 million Army AI contract (Project Maven)**[35] – and analysts remain bullish given its deep government ties and surging demand for AI-driven analytics.
- **Meta Platforms (META)** – The Facebook parent’s shares hovered near 52-week highs (~\$700) as investors bet on its aggressive AI pivot. Meta has been **pouring billions into AI infrastructure** and even plans to **acquire chip startup Rivos** to bolster in-house AI chip design[36][37]. This reflects CEO Mark Zuckerberg’s strategy to reduce reliance on third-party silicon and cut long-term costs. Meta also rolled out new **AI chatbot features** across its social apps (e.g. AI characters in Instagram) to boost engagement[38]. While heavy spending has crimped near-term earnings, analysts expect **2025 capex guidance** (자본 투자 지출) to be revised upwards on the Oct 29 earnings call, a sign Meta sees strong AI-driven growth opportunities[39]. Investors appear encouraged that these investments – plus solid

ad revenue trends – will pay off, as **Meta's stock is up ~9% in extended trade** after recent tech earnings beats by peers[40].

- **SAP SE (SAP)** – Europe's enterprise software leader (and an AI adopter) has been a bellwether of business tech spending. SAP shares recently hit an **all-time high** after the company raised its outlook on booming **cloud business** demand[41][42]. In its latest earnings, SAP reported **cloud revenue up ~27%** (currency-adjusted) with **30% of new cloud contracts including AI** solutions[43]. CEO Christian Klein said SAP is "*investing to be the leader in Business AI*," confident of accelerating growth through 2027[44]. Robust enterprise IT spending on AI-friendly cloud services bodes well for U.S. tech giants as well (Oracle, Microsoft, etc.), indicating that the **AI investment wave** is bolstering software firms even amid broader economic uncertainties.
- **Netflix (NFLX)** – The streaming service didn't report earnings this week, but it drew attention as a **consumer inflation gauge**. Netflix has benefited from its password-sharing crackdown, which added millions of subscribers[45], and it's cautiously raising prices. With U.S. **entertainment costs** rising faster than inflation, Netflix's ability to pass on price hikes without losing subscribers is being closely watched. Last quarter, Netflix beat subscriber targets – adding 8 million vs 5 million expected – thanks to the crackdown and hit content (e.g. *Bridgerton*), but it warned that advertising revenue growth will take time[45][46]. Going forward, any **subscriber slowdown** or commentary on consumer tightening spending could reflect broader **consumer health** in an inflationary environment. Notably, Netflix plans to **stop reporting subscriber counts** next year to focus on revenue metrics[47], suggesting it's confident in pricing power but also shifting how it guides the market.
- **Intel (INTC)** – The semiconductor stalwart (and a major AI chip rival) saw relatively modest stock moves this week but remains in focus. Intel is striving to regain process leadership and capitalize on U.S. **chip subsidies** amid the tech decoupling with China. This week, Intel's foundry unit scored new orders from the U.S. Department of Defense, leveraging the push for **domestic chip supply**. However, Intel faces challenges from tariffs and export controls: it has significant sales in China and also stakes (via CEO-backed Rivos) in RISC-V tech that could bypass Arm/Intel architectures[48][49]. Investors are watching if Intel's upcoming earnings (late October) show a pickup in data-center chip demand from AI, or continued weakness in PC chip sales. Any outlook revision will feed into the market's read on the **global semiconductor cycle** – which, thanks to AI, shows pockets of strength despite a broader chip glut in consumer electronics.
- **Tesla (TSLA)** – The electric vehicle leader's stock had a rollercoaster week. Early on, Tesla confirmed **record Q3 vehicle deliveries – 497,099 EVs**, up 7.4% year-on-year and well above Wall Street forecasts (~443k)[50][51]. This surge was fueled by a last-minute **demand pull-forward** in the U.S. before a federal EV tax credit expired on Oct 1[52][53]. While a record quarter is normally bullish, Tesla's shares **fell**

~3.4% on the news[54]. Why? Investors worry the post-incentive period will bring a “soft couple of quarters”[55]. Essentially, many sales were **borrowed from the future**, and Tesla may face a Q4 demand gap now that the \$7,500 credit is gone[56][57]. Tesla has responded by raising U.S. **lease prices** (리스 가격 인상) to offset the lost subsidy[58], and is leaning on **China’s market** (where a new six-seat Model Y L launched) to cushion the blow[59]. Looking ahead, Tesla’s focus on **AI-based self-driving** and robotics continues; notably, Musk’s push to position Tesla as a **tech company** (with robotaxis, AI robots) is ongoing[60]. But for now, the stock will likely trade on delivery momentum vs. margin pressures from all the recent price cuts. Also of note: Trump’s proposed tariffs could hit **Tesla’s supply chain** (many EV components come from China) and potentially China sales if Beijing retaliates – factors to watch in Tesla’s Oct 22 earnings.

- **Rocket Lab (RKL)** – Small-cap space tech had a bright spot: **Rocket Lab USA**, a launch provider, saw its stock **jump ~6–8%** after announcing a major contract win. On Oct 10, the company **secured multiple launches with JAXA (Japan’s space agency)** – signing a contract for **two Electron rocket launches** to deploy a Japanese satellite[61]. This deal expands Rocket Lab’s order book to a record high (the firm has over 20 missions in backlog) and marks its growing international reach. The market cheered the news, sending RKL to new highs. Rocket Lab’s year-to-date gain exceeds +160%[62], far outpacing the S&P 500’s ~12% gain, as investors bet on the **space sector** as a high-growth frontier. The company’s success in winning contracts (including with U.S. defense and now JAXA) also underscores how government space spending – somewhat insulated from consumer inflation – remains robust. Going forward, any discussion of **cost inflation** in rocket manufacturing or launch services will be notable, but so far Rocket Lab has managed to expand margins by scaling production. Its trajectory exemplifies how **innovation-driven tech firms** can thrive even in a higher inflation, higher rate environment.

Next Week’s Economic Calendar (Oct 14–17, 2025)

Next week features several **key economic releases** (주요 경제 지표) – albeit some subject to delay due to the recent federal shutdown. Markets will be closely watching each for clues on Fed policy and economic momentum:

- **U.S. Consumer Price Index (CPI 소비자물가지수)** – *September CPI*, originally slated for Oct 15, has been **rescheduled to Oct 24** because of the government shutdown[63]. Nevertheless, investors will be anticipating the data. **Forecast:** Economists see **headline inflation** remaining moderate around ~2.7–2.9% y/y, near its lowest in two years, with **core CPI** still sticky ~3–4%. If the CPI (when released) comes in **lower than expected**, it would reinforce the Fed’s dovish pivot – likely **bullish for bonds and equities** as rate cut odds increase. A soft inflation reading would ease pressure on the Fed, supporting risk sentiment (stocks tend to rally on cooling inflation). Conversely, an **upside CPI surprise** (e.g. due to energy prices or

shelter costs) could jolt markets: bond yields might spike on fears the Fed could pause rate cuts, and rate-sensitive growth stocks would face headwinds. Given Powell's view that recent **tariff-related price rises are one-off**^[9], the Fed would likely "look through" a slightly higher CPI print caused by tariffs or temporary factors. Still, any CPI volatility from data collection issues (the BLS warned the shutdown has left **one-third of October prices uncollected**, skewing upcoming inflation data^{[64][65]}) could inject noise into markets. In short, **benign inflation** will validate the market's Fed easing hopes, while an unexpected flare-up in prices is the main risk to watch.

- **U.S. Retail Sales (소매 판매)** – The **September retail sales report** (tracking consumer spending) was expected mid-week (likely Oct 16) but may also be **delayed** since the Census Bureau's operations were impacted by the funding lapse^[66]. Whenever it arrives, this report will be parsed for the **strength of the U.S. consumer**. **Forecast:** Analysts predict **moderate sales growth** in September, perhaps +0.3% m/m, as back-to-school and early holiday shopping provided a lift. **Strong retail sales** would indicate consumers are still spending resiliently despite higher prices and borrowing costs – a double-edged sword for markets. On one hand, robust spending reduces recession fears and supports corporate earnings (positive for stocks, especially retail and consumer discretionary shares). On the other hand, too-strong sales could worry the Fed by signaling **demand-pull inflation** is alive, potentially slowing the pace of rate cuts. In that case, we might see **Treasury yields tick up** and stocks (particularly rate-sensitive sectors) come under pressure. If retail sales disappoint (e.g. flat or negative growth), it would suggest the **consumer is faltering** under high inflation and student loan repayment resumption. Paradoxically, bad news could be good news for markets: a spending slowdown would bolster the case for Fed easing, likely rallying **bond prices (채권 가격)** and boosting sectors like utilities or tech that favor lower yields. However, significantly weak sales could also raise **recession worries**, which might hurt cyclical stocks (banks, industrials). In sum, markets will be seeking a **"Goldilocks" consumer** – solid enough to avoid recession, but not so hot as to revive inflation concerns.
- **U.S. Employment (Nonfarm Payrolls 비농업 고용지표)** – The closely watched **September jobs report** (originally due Oct 3) has been **postponed**, possibly to **Friday, Oct 17** if data collection catches up^[67]. This release will be crucial given the Fed's current emphasis on labor market weakness. **Forecast:** Economists expect a **marked slowdown in job growth**, with payroll gains perhaps around +90k to +120k (down from 150k+ in recent months). The **unemployment rate** could tick up slightly (현재 ~4.3%). **Market influence:** If **nonfarm payrolls come in weak** – say, well under 100k jobs added, or an uptick in unemployment – markets would likely cheer the prospect of more Fed rate cuts. Treasury yields would fall and **growth stocks** could rally on hopes of easier monetary policy ahead. A softer labor market, as Powell noted, **"takes upside risk off inflation"**^[12], so bad news on jobs

may be viewed as good news for stocks. However, there's a fine line: an extremely poor jobs report (e.g. outright job losses) might spook investors with **recession fears**, hurting equities broadly. Conversely, if **payrolls defy expectations and remain strong**, markets could react negatively – robust job growth or wage pressures would suggest the Fed might **hold off on cutting rates**. In that scenario, expect **bond prices to drop** (금리 상승) and possibly a rotation out of tech/growth into more defensive stocks. Given the Fed's new stance, traders know that **“weak labor data = Fed easing.”** Indeed, Fed Governor Waller said this week the Fed **“can address job market weakness”** with rate cuts[68]. So, from the market's perspective, a **gentle cooling** in payrolls (not too hot, not total collapse) would be the ideal outcome to keep the **Fed on track to ease** without sparking recession angst.

Global Data to Watch: Outside the U.S., **China's Q3 GDP** and **September activity data** (industrial output, retail sales) are due on Wednesday. China's growth trend will influence commodity markets and global cyclicals. Forecasts call for ~4.4% y/y GDP – a slowdown that could prompt more Chinese stimulus, which would be welcomed by emerging markets. Also, **China's CPI** is expected to show mild deflation (~-0.2% y/y[69]), underlining China's lack of inflation – a stark contrast to Western economies. Meanwhile in Europe, **UK CPI** and **EU trade data** next week could sway ECB/BOE expectations but are less likely to jolt U.S. markets. Overall, the international backdrop (slower China, easing inflation abroad) reinforces the theme of **easing price pressures** and central banks pivoting to growth support, which is supportive for global equities and bonds.

Upcoming Earnings & Outlook: Inflation-Sensitive vs. AI-Levered Firms

Next week also brings some significant corporate earnings, especially from companies sensitive to inflation trends and others tied to the AI boom. Investors and experts will be dissecting these results for what they imply about **inflation, consumer health, and the tech cycle**:

- **Inflation-Sensitive Consumer Stocks:** *Dollar Tree* and *Travelers* aren't reporting next week (*Dollar Tree's* Q3 is due in November), but they serve as case studies in inflation dynamics:
- **Dollar Tree (DLTR)** – The discount retailer's performance highlights the **cross-currents of inflation**. On one hand, high inflation has driven **cost-conscious shoppers** (including middle-income families) into its stores – in Q2, households earning \$100k+ contributed strongly to sales growth as consumers “traded down”[70][71]. Comparable sales jumped +6.5%, beating estimates[72]. This shows **inflation is boosting Dollar Tree's revenue** as more customers seek bargains. The company even **raised its full-year sales forecast** to ~\$19.4B[73]. However, inflation's *cost side* is biting: *Dollar Tree's* margins have been **squeezed by rising import costs due to tariffs**[74]. Management warned that President Trump's new import tariffs are a major challenge, introducing **volatility in costs** and

forcing the chain to adjust pricing more frequently[74]. They described tariffs as “one of our largest challenges” in this high-inflation environment[75]. Dollar Tree is responding by **shifting suppliers and raising some prices** (they’ve moved away from the strict \$1 price point to \$1.25 and \$3 and \$5 items)[76]. Analysts expect Dollar Tree to **offset most tariff headwinds** via these strategies[77], but it needs to stay nimble given the “volatile geopolitical landscape”[77]. **Outlook:** When Dollar Tree reports in Nov, experts anticipate solid sales but will focus on **profit margins**. Any guidance on how much tariffs and freight inflation are eating into profits will be key. If Dollar Tree manages to maintain earnings by passing costs to consumers (through slight price hikes) and leveraging its scale, it signals **inflation’s impact can be managed** in retail. But if it issues a profit warning due to cost pressures, that could flash warning signs about **sticky inflation** eroding corporate profitability. Notably, Dollar Tree’s CEO also cautioned that by late 2025, consumers could **“come under increased pressure”** as cumulative inflation and higher tariffs potentially strain budgets[78]. That would mean even discounters might see demand soften – a bearish signal for the broader economy. In short, Dollar Tree’s experience will tell us how well retailers can navigate an era of **sticky inflation with shifting consumer behavior**.

- Travelers Companies (TRV)** – As a large property & casualty insurer, Travelers is a classic **inflation-sensitive financial**. It actually benefits in some ways from inflation and high interest rates. **Recent results have been strong:** in Q2, Travelers’ core **underwriting income** jumped +35%, and net investment income climbed +24% thanks to higher yields[79][80]. With interest rates up, insurers earn more on their bond portfolios, boosting profits. Travelers also raised premiums to keep pace with inflation in claims costs – its **combined ratio** improved to a very healthy ~85.6% (meaning for every \$1 in premiums, only ~\$0.86 went to pay claims)[81]. This indicates pricing power: the company has successfully charged higher premiums (자동차/주택 보험료 인상) to cover the rising costs of auto repairs, medical bills, and home rebuilds, which inflate during high CPI periods. **Forecast:** Travelers is expected to report Q3 earnings around Oct 19. Analysts foresee continued **earnings growth** given relatively mild catastrophe losses and strong investment returns. If Travelers **beats profit estimates** again, it would underscore that insurers can thrive amid inflation by passing costs on and benefiting from rate-driven investment gains[79]. That sends a broader message: moderate inflation combined with higher interest income can **boost financial sector profits**. Conversely, if Travelers were to miss or guide cautiously, a possible culprit could be **higher-than-expected claims inflation** (e.g., surging auto accident costs or hurricane losses) or competitive pressure limiting premium hikes. Thus far, however, Travelers has been an **“insurance bellwether” beating estimates on strong underwriting**[82]. Its results next week will be parsed for signs of **claims inflation** – are used car part prices, medical liability payouts, etc., stabilizing or still climbing? Also, any commentary on how the economic climate is affecting policy renewals (for instance, are businesses buying less insurance or lower coverage due

to cost?) will be valuable. If Travelers remains optimistic and continues to report sub-90 combined ratios, it implies the insurance industry is successfully weathering inflation – good news for financial stocks and suggesting that some **inflation costs are being absorbed by consumers (through higher premiums)**. In terms of Fed policy, robust insurer profits wouldn't alter the outlook, but if Travelers highlighted inflation uncertainties or rising claim trends, it might underscore that **inflation isn't fully tamed** in all sectors.

- **AI-Related and Semiconductor Firms:** Two giants of the global tech supply chain, **ASML Holding** and **TSMC**, report next week, offering insight into the state of the **AI semiconductor boom** and any impact from trade tensions:
- **ASML Holding (ASML)** – The Dutch company (world's leading lithography equipment maker) will release earnings and possibly updated guidance. **Expectations:** ASML has already tempered long-term growth hopes slightly – last month it **lowered its 2025–2026 revenue forecast**, citing signs of **chip fab overcapacity** in certain areas rather than a collapse in AI demand[83]. Investors will want confirmation that the **AI frenzy** (고성능 AI 칩 수요) is still driving orders for ASML's extreme ultraviolet (EUV) machines, even as smartphone/PC chip demand slumps. One concern is **geopolitics**: ASML's CFO warned in April that **new U.S. tariffs and export controls** increase uncertainty for 2025–26[28][84]. Since then, the U.S. has indeed tightened chip export rules (Nvidia's \$5.5B China charge is one example[30]), and China has curbed exports of chipmaking materials. Analysts expect ASML to maintain its *full-year 2025 sales guidance* (~€30–35B) on the back of solid AI-related orders[85], but any change will be market-moving. If ASML **reaffirms strong growth** and says AI demand “remains very strong and concrete” – as it did previously[86] – that will **boost market sentiment** for chip stocks and suggest the AI investment cycle can overcome trade headwinds. ASML's commentary on **Chinese demand** is also key: earlier in 2025, ASML noted China orders were **stronger than expected** despite export restrictions[30]. If that trend continues, it implies Chinese chipmakers are rushing to buy slightly older ASML tools while they can, supporting ASML's backlog. Conversely, if ASML issues cautious signals – e.g. warning that **customer capacity expansions are slowing** or that **tariffs might crimp 2025 sales** – that could spook markets. ASML's stock fell ~10% in October when it hinted growth may moderate beyond 2025[87]. Such an outlook could dampen the broader **tech sector**, since ASML is seen as a proxy for chip industry confidence. Also, watch for any mention of **order delays or cancellations**: so far, most chipmakers (like TSMC) are pressing ahead with AI-related capex, but if ASML discloses a dip in **net bookings** (its Q1 bookings missed estimates[88]), it might signal that some chip fabs are getting cautious. In summary, **ASML's guidance will tie into inflation/monetary outlook** indirectly – a bullish ASML means the supply-side of tech is expanding (which is disinflationary for tech prices and good for growth), whereas a pullback could hint at a cooling cycle, which might worry markets about global demand.

- Taiwan Semiconductor Manufacturing Co. (TSMC)** – The world’s top chip foundry reports full Q3 earnings on **Oct 16**. Already, TSMC pre-announced a **stellar Q3 revenue**: ~T\$990B, up **30% YoY**, **beating forecasts** on surging orders for AI chips[89]. This was driven by **soaring demand for AI accelerators** from customers like Nvidia and AMD[90]. TSMC’s results will likely show that the **AI boom is more than offsetting weakness** in smartphone and PC chip orders[91]. **Expert outlook**: Analysts expect TSMC to somewhat **raise its Q4 and 2025 outlook**, given the stronger Q3. The stock is up 34% YTD[92], reflecting optimism that TSMC is a prime beneficiary of the AI revolution. Two factors to watch: (1) **Capital Expenditures (자본 지출)** – does TSMC plan to increase capex to expand capacity faster? If yes, that signals confidence in sustained AI chip demand (bullish for tech equipment makers, and implies tech supply will grow, potentially easing chip price inflation). If TSMC instead keeps capex flat or cautious, it might hint at concern about longer-term demand or the impact of **U.S. restrictions**. (2) **Geopolitical commentary**: TSMC might discuss U.S. export rules or China’s economy. Recently, U.S. tariffs and China’s sluggish demand haven’t stopped TSMC – even **Foxconn** (a major electronics maker) had record sales on data-center server demand[93]. If TSMC executives mention any **risk from U.S.–China tensions** (for instance, if China were to retaliate against Apple or limit material exports further), that could inject caution. However, given that TSMC’s AI-related orders (for advanced 3nm/5nm chips) mostly come from U.S. companies, its exposure is more on the **customer concentration and tech cycle** side than tariffs on end-products. **Implications for markets**: A strong TSMC report with upbeat guidance would reinforce that the **AI investment cycle is in full swing** – likely lifting semiconductor stocks and validating the market’s rotation into AI plays. It may also assuage recession fears if one of the world’s most cyclical companies is doing well. In contrast, any hint from TSMC of **order deceleration** (say, if data center clients start digesting inventory) could spark a short-term selloff in AI-related equities. But overall, TSMC is expected to strike an optimistic tone, which aligns with the Fed’s stance: robust supply expansions in tech can be disinflationary (more chips = lower prices), helping contain inflation even as demand for AI stays hot.

In conclusion, next week’s economic and earnings slate will be pivotal. **Investors are juggling two narratives**: easing inflation and weakening labor markets prompting Fed cuts (a positive for stocks and bonds), versus rising geopolitical and tariff risks that could disrupt growth (a negative for risk assets). If the upcoming data confirm **cooling inflation and a softening-but-not-cratering job market**, the stage could be set for a year-end rally as Fed policy turns more stimulative. Meanwhile, corporate earnings from names like ASML and TSMC will show whether the **AI boom can sustain Wall Street’s optimism** even as old-economy indicators slow. The market will be looking for reassurance that the **economic expansion (경제 확장)** can continue in this new regime of **lower inflation and gradually lower rates**, despite the swirl of risks from trade wars and beyond. By the end of next week, we should have a clearer picture of whether the Fed’s focus on labor weakness

is paying off and how much the trade conflict threatens to upend the 2025 outlook for both Main Street and Wall Street.

Sources: FOMC minutes & Fed commentary[94][10]; Reuters market and economic news[1][17][63][74]; Company reports and analyst insights[50][89][80].

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